

U.S. Multi Industry & Electrical Equipment

Honeywell International Inc

Rating

Market-Perform

Price Target

 HON

243.00 USD



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Specialist Sales



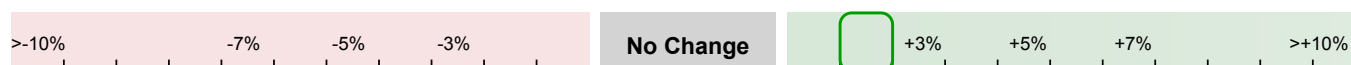
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HON 2Q26: Solid results coming in better than expected with a guidance raise

This seemed to be a solid quarter for Honeywell Technologies overall. Top line organic growth was up 4% vs. expectations to be flat, and adjusted operating margin was largely in line with expectations at 19%. EPS of \$1.95 is ~7% ahead of consensus.

Organic growth for all three segments came in better than expected (BA 9% vs. 6.5% consensus, PAT at -1% vs. -7.5% consensus, IA at 4% vs. 0.5% consensus). Segment operating margins also came in better than expected (~20 - 30 bps depending on the business unit). Guidance was marginally raised as well for the full year; organic growth is up to 3 - 4% (vs. 2 - 3% earlier), segment margins are up to 20.3% at the midpoint (vs. ~20.0% earlier), and the EPS guidance midpoint is \$8.20 vs. \$8.10 in earlier.

EXPECTED CHANGE TO CONSENSUS EARNINGS



Numbers :Revenue of \$5,187 million beat consensus of approximately \$4,978 million by 4.2%, representing 3.4% YoY growth versus \$5,018 million in 2Q'25. Organic growth of 4.0% beat the consensus expectation of 0.2% by 380 bps. EBIT (segment profit) of \$985 million beat consensus of \$943 million by 4.4%. Operating margin of 19.0% beat the consensus estimate of 18.9% by 5 bps. Adjusted EPS of \$1.95 beat the Street estimate of \$1.82 by 7.4%.

Segments: Industrial Automation: Revenue of \$1,501 million beat consensus of \$1,457 million by 3.0%, compared with \$1,577 million in 2Q'25. Organic growth of 4.0% compares with 0.0% in 2Q'25 and beat the consensus expectation of 0.5% by 350 bps. Segment operating income of \$258 million beat consensus of \$247 million by 4.5%, while segment operating margin of 17.2% compared with 16.3% in 2Q'25 and 16.9% consensus, exceeding expectations by 25 bps.

Building Automation: Revenue of \$2,002 million beat consensus of \$1,954 million by 2.5%, compared with \$1,826 million in 2Q'25. Organic growth of 9.0% compares with 8.0% in 2Q'25 and beat the consensus expectation of 6.5% by 250 bps. Segment operating income of \$542 million beat consensus of \$524 million by 3.5%, while segment operating margin of 27.1% compared with 26.2% in 2Q'25 and 26.8% consensus, exceeding expectations by 29 bps.

Process Automation: Revenue of \$1,679 million beat consensus of \$1,549 million by 8.4%, compared with \$1,613 million in 2Q'25. Organic growth of -1.0% compares with 6.0% in 2Q'25 and beat the consensus expectation of -7.5% by 650 bps. Segment operating income of \$371 million beat consensus of \$342 million by 8.4%, while segment operating margin of 22.1% compared with 23.9% in 2Q'25 and

22.1% consensus, in line with expectations.

Guidance: Honeywell modestly updated its FY26 outlook, narrowing its sales range to \$19.8-\$20.0 billion from \$19.9-\$20.2 billion while raising organic growth guidance to 3-4% from 2-3%. The company also increased adjusted EPS guidance to \$8.05-\$8.35 from \$7.90-\$8.30 and raised segment margin guidance to 20.1-20.5% from 19.8-20.3%. Free cash flow guidance was maintained at approximately \$2.0 billion.

EXHIBIT 1: **HON Cons. vs reported**

Group (\$m)	2Q'25 Reported	2Q'26 Reported	2Q'26 VA Cons.	YoY change	Beat / Miss vs VA Cons.	% Beat / Miss
Revenue Remain co.	5,018	5,187	4,978	+3.4%	BEAT	+4.2%
<i>Organic growth</i>		4.0%	0.2%	400 bps	BEAT	383 bps
Segment profit Remain co.	904	985	943	+9.0%	BEAT	+4.4%
Operating margin	18.0%	19.0%	18.9%	100 bps	BEAT	5 bps
Adj. EPS (\$) Remain co.	1.77	1.95	1.82	+10.2%	BEAT	+7.4%

Segments (\$m)	2Q'25 Reported	2Q'26 Reported	2Q'26 VA Cons.	YoY change	Beat / Miss vs VA Cons.	% Beat / Miss
Industrial Automation						
Revenue	1,577	1501	1,457	-5%	BEAT	+3.0%
<i>Organic growth</i>	0.0%	4.0%	0.5%	400 bps	BEAT	350 bps
Segment operating Income	257	258	247	0%	BEAT	+4.5%
Segment operating Margin	16.3%	17.2%	16.9%	90 bps	BEAT	25 bps
Building Automation						
Revenue	1,826	2002	1,954	10%	BEAT	+2.5%
<i>Organic growth</i>	8.0%	9.0%	6.5%	100 bps	BEAT	250 bps
Segment operating Income	479	542	524	13%	BEAT	+3.5%
Segment operating Margin	26.2%	27.1%	26.8%	87 bps	BEAT	29 bps
Process Automation						
Revenue	1,613	1679	1,549	4%	BEAT	+8.4%
<i>Organic growth</i>	6.0%	-1.0%	-7.5%	-700 bps	BEAT	650 bps
Segment operating Income	386	371	342	-4%	BEAT	+8.4%
Segment operating Margin	23.9%	22.1%	22.1%	-183 bps	BEAT	0 bps

Operating profit and Adj. EPS numbers not known for remain co. for Q2 2025

Source: Visible Alpha, Company reports, Bernstein analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	22 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
HON (Honeywell)	M	USD	232.99	243.00	(20.3)%	USD	6.46	8.26	10.02	36.1	28.2	23.2
SPX			7,498.96									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We value Honeywell (including the Aerospace business) at 20x NTM + 1 EPS (estimated at \$10.19) giving us a target price for the full business of \$204. We add another \$39 based on the value of their stake in QNT (assuming a \$94 target price). This implies an overall \$243 target price.

RISKS**Honeywell International Inc**

Upside: (i) Continued growth in Building Automation, Positive uptake of Forge product reflecting in more recurring revenue, Margin expansion in IA business post WWS / PPS spin

Downside: (i) Power prices stay stable or decline as supply comes online (reducing impetus for building automation), (ii) Weakness / delays in LNG projects which market is not pricing, (iii) Organizational drag from spin-off of aerospace

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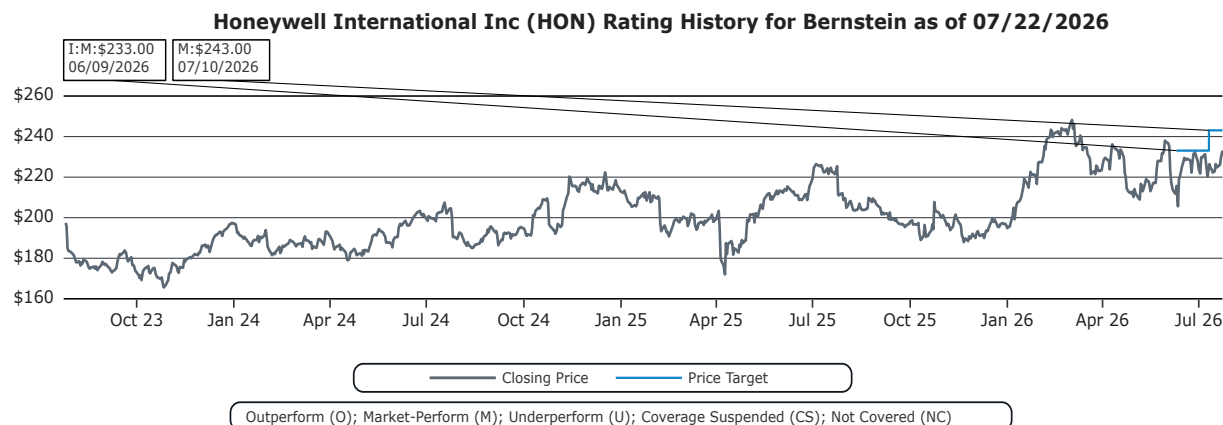
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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